

3.2 VARIABLE AND FIXED COSTS

Multiple Choice Questions

1990/CE/II/11

Which of the following is regarded as a fixed cost of a restaurant?

- A. the water charges
- B. the wages of the part-time workers
- C. the expenditure on meat and vegetables
- D. the rent of the restaurant

2003/CE/II/10

Suppose the MTR extends its service hours on New Year's Eve. Which of the following are the MTR's variable costs of extending the service hours?

- (1) electricity expense
 - (2) overtime payment to the drivers
 - (3) interest payment for loans from banks
- A. (1) and (2) only
 - B. (1) and (3) only
 - C. (2) and (3) only
 - D. (1), (2) and (3)

2017/DSE/I/10

An art centre extends its business hours for one hour in order to offer more painting classes. Which of the following are variable costs involved in the extra hour of operation?

- (1) salary of the accountant
 - (2) electricity fee
 - (3) expense on paints
 - (4) rental payment
- A. (1) and (4) only
 - B. (2) and (3) only
 - C. (1), (2) and (4) only
 - D. (1), (2), (3) and (4)

2025/DSE/I/41

Mr Cheung earned huge profits as a sole proprietor in Hong Kong. He purchased a second-hand car and a second-hand apartment in Hong Kong for his own use.

Based on the above information, which types of indirect tax does Mr Cheung need to pay to the Hong Kong Government?

- (1) profits tax
 - (2) stamp duty
 - (3) rates
 - (4) motor vehicle first registration tax
- A. (1) and (2) only
 - B. (2) and (3) only
 - C. (3) and (4) only
 - D. (1), (2), (3) and (4)

Short & Structured Questions

1991/CE/I/4(a)(ii)

Mr. Chan was a lorry driver of a construction company. Last year, he left the company and began to work on his own with his lorry, taking orders directly from customers.

Suggest **ONE** fixed cost and **ONE** variable cost in the above production process. Explain your answer. (6 marks)

2014/DSE/II/2(b)

Ah Wing runs a store selling mobile phone accessories in Mong Kok. Give **ONE** example of variable cost incurred in Ah Wing's business. Explain your answer. (2 marks)